

NQ1 First Presented FVG/OB Analysis Report

Executive Summary

This analysis tested the edge of taking the **first presented FVG or Order Block** within rolling 1H/2H/3H windows across 2 years of NQ 1-minute data (~47,800 setups, ~28,400 triggered trades).

Bottom line: The raw strategy is a net loser with 78% stop-out rate and median R@Exit of -1.00. However, there is a real but thin edge buried in specific time-of-day and setup-type combinations. With a fixed 1R take-profit, the overall strategy becomes marginally positive (+0.06R mean), and certain hour/type combos push to +0.20 to +0.34R mean -- which is tradeable territory.

The critical finding is that **60% of trades that touch 1R eventually get stopped out**, meaning the strategy has a severe profit-capture problem. Without active trade management (take-profit or trail), the edge is destroyed by reversals.

Methodology Recap

- **Entry model:** Tag zone -> trail at deepest penetration candle's high/low -> trigger on break
- **Stop:** Structural stop at displacement candle low (FVG) or OB body low
- **Trade horizon:** 120 bars (2 hours) post-trigger
- **Stop enforcement:** Bar-by-bar, worst-case per bar
- **Displacement:** Session-aware (per-session rolling 20-bar average body x 2.0)
- **Data:** NQ1 1-minute, last 2 years (~Jan 2024 - Jan 2026)

1. Overall Statistics

Metric	Value
Total setups scanned	47,809
Triggered trades	28,438 (59.5%)

Metric	Value
Stopped out	22,255 (78.3%)
Survived to time exit	6,183 (21.7%)
Median R@Exit	-1.00
Mean R@Exit (expectancy)	+0.10R
P90 R@Exit	+3.00R
P95 R@Exit	+5.33R

The mean is positive (+0.10R) because the 22% of trades that survive produce large winners (median +2.73R for survivors, with a right tail extending to +111R). This is a classic "lots of small losses, few big winners" profile -- but the win/loss ratio is too skewed for comfort without active management.

2. The Core Problem: 1R Touch-then-Reversal

Metric	Value
Trades that touched 1R	14,959 (52.6%)
Of those, still stopped out	8,986 (60.1%)
Median time to reach 1R	5 minutes
P25 / P75 time to 1R	2 / 11 minutes

This is the single most important finding. Price reaches your 1R target quickly (median 5 min) but then reverses and stops you out 60% of the time. This tells you:

1. The zone identification is working -- price does react to these levels
2. But without a take-profit, the reaction is temporary and reverses
3. A fixed TP at 1R would capture the edge; holding for runner destroys it

3. What-If Trade Management Scenarios

Scenario	Mean R	Win%	Notes
No TP (current)	+0.10R	21.7%	Only survivors win; 78% stopped
TP at 1R	+0.06R	53.0%	Captures the edge, small but consistent
TP at 2R	+0.06R	35.8%	Same expectancy, fewer but larger wins
50% at 1R + 50% at 2R	+0.04R	34.2%	Partials dilute the edge

Verdict: TP at 1R is the simplest path to a positive strategy. The edge is thin (+0.06R) across all trades, but it improves dramatically with time-of-day filtering (see Section 6).

4. Window Type Comparison (1H vs 2H vs 3H)

Window	Triggered	Stop%	1R%	2R%	Mean R
1H	9,463	78.3%	52.6%	33.8%	+0.10R
2H	9,485	78.3%	52.6%	33.8%	+0.10R
3H	9,490	78.2%	52.6%	33.8%	+0.10R

The three windows produce virtually identical results. Cross-referencing trigger times confirms 99.7% of setups are shared -- the "first presented" FVG/OB almost always forms within the first hour of any window. Only 21-26 unique setups across 2 years were exclusive to 2H/3H.

Implication: The 1H window is sufficient. The 2H/3H windows do not discover meaningfully different setups. This makes sense -- displacement candles that create FVGs/OBs tend to appear early in any given price movement, not 2-3 hours into a session.

5. FVG vs Order Block

Type	N	Stop%	1R%	2R%	Mean R
FVG	15,340	78.0%	51.9%	33.3%	+0.10R
OB	13,098	78.6%	53.4%	34.4%	+0.11R

OBs have a slight edge in 1R hit rate (+1.5%) and 2R hit rate (+1.1%). The difference is small but consistent. OBs may work better because they represent a more complete narrative (last opposing candle before displacement = trapped traders).

6. Time-of-Day Analysis (The Key Edge)

6a. Hourly Ranking by TP@1R Expectancy (1H Window, All Types)

Best Hours (Positive Edge):

Hour	Session	N	1R%	Stop%	TP@1R Exp
02:00	London	381	59%	76%	+0.186R
07:00	Other	431	57%	81%	+0.137R
23:00	Asia	227	56%	73%	+0.121R
00:00	Other	197	56%	76%	+0.117R
06:00	Other	386	56%	81%	+0.114R
21:00	Asia	284	55%	74%	+0.088R

Worst Hours (No Edge or Negative):

Hour	Session	N	1R%	Stop%	TP@1R Exp
15:00	NY_PM	559	50%	78%	-0.075R
22:00	Asia	244	50%	77%	+0.008R
14:00	NY_PM	531	50%	83%	+0.003R
08:00	Other	448	51%	92%	+0.027R

Pattern: The edge concentrates around London open (02:00-03:00 ET), pre-NY (06:00-07:00 ET), and late Asia (21:00-23:00 ET). The edge disappears during NY PM (14:00-16:00) and the 08:00 hour is brutal (92% stop rate for OBs at 08:00).

6b. Session Summary

Session	N	Stop%	1R%	TP@1R Exp	Alive Med R
London	4,204	76.5%	54.6%	+0.094R	+2.61
Other	9,091	79.8%	53.4%	+0.081R	+2.72
Lunch	3,092	79.3%	53.0%	+0.065R	+3.10
Asia	4,158	76.1%	51.7%	+0.041R	+2.50
NY_AM	4,629	77.7%	51.5%	+0.035R	+3.05
NY_PM	3,264	78.8%	50.1%	+0.009R	+2.77

London has the best TP@1R expectancy. NY_PM is essentially random. Interestingly, when NY_AM and Lunch trades DO survive, they produce the largest runners (3.05R and 3.10R median), but the low hit rates make them poor for a TP@1R approach. They may be better suited for a trail-to-runner strategy.

7. Directional Analysis

Direction	N	Stop%	1R%	Mean R
Bullish FVG	7,507	77.4%	52.0%	+0.01R
Bearish FVG	7,833	78.5%	51.9%	+0.18R
Bullish OB	6,820	76.7%	53.5%	+0.13R
Bearish OB	6,278	80.7%	53.3%	+0.08R

Bearish FVG has the highest raw expectancy (+0.18R), while Bullish OB has the highest 1R hit rate (53.5%). Bullish FVG is the weakest with almost zero edge.

By Session + Direction

Session	Direction	N	1R%	TP@1R Exp
London	Bullish	720	55%	+0.108R
London	Bearish	675	54%	+0.081R
Asia	Bullish	871	54%	+0.080R
Lunch	Bearish	501	53%	+0.071R
Lunch	Bullish	529	53%	+0.059R
NY_AM	Bearish	787	52%	+0.051R
NY_PM	Bearish	594	51%	+0.015R
NY_AM	Bullish	748	50%	+0.015R
Asia	Bearish	825	50%	+0.004R
NY_PM	Bullish	496	49%	-0.001R

8. Top 10 Granular Combos (1H, TP@1R)

These are the most promising specific setups by hour + type + direction:

Rank	Type	Direction	Hour	Session	N	1R%	Stop%	TP@1R Exp
1	OB	Bullish	02:00	London	85	67%	75%	+0.341R
2	OB	Bearish	23:00	Asia	45	67%	71%	+0.333R
3	FVG	Bullish	02:00	London	108	64%	71%	+0.278R
4	OB	Bearish	04:00	London	107	63%	72%	+0.261R
5	OB	Bearish	19:00	Asia	74	62%	74%	+0.243R
6	FVG	Bullish	21:00	Asia	79	61%	70%	+0.216R
7	OB	Bullish	06:00	Other	89	61%	75%	+0.213R
8	OB	Bearish	00:00	Other	33	61%	79%	+0.212R
9	OB	Bullish	21:00	Asia	79	59%	68%	+0.208R
10	FVG	Bearish	03:00	London	136	60%	73%	+0.198R

The 02:00 Bullish OB is the standout: 67% hit rate at 1R with +0.34R expectancy over 85 samples. The 23:00 Bearish OB is similar but with a smaller sample.

Notice the pattern: the top combos are overwhelmingly **overnight/London** setups. NY session setups don't appear in the top 10.

9. Day of Week

Day	N	Stop%	1R%	Mean R
Thursday	5,765	77.9%	54.4%	+0.23R
Wednesday	5,580	77.2%	52.7%	+0.23R
Friday	4,424	79.3%	51.6%	+0.05R
Tuesday	5,612	79.2%	51.2%	+0.03R
Monday	5,782	78.4%	53.6%	-0.01R

Day	N	Stop%	1R%	Mean R
Sunday	1,275	76.0%	49.2%	-0.08R

Wednesday and Thursday are the strongest days. Monday has a decent 1R hit rate but negative overall expectancy. Sunday (overnight open) is the worst.

10. Stop Distance Analysis

Stop Range	N	Stop%	1R%	Mean R
< 8 pts	6,670	84%	55%	+0.30R
8-12 pts	7,196	80%	54%	+0.04R
12-20 pts	7,898	78%	52%	+0.04R
20-40 pts	5,372	73%	49%	+0.04R
40+ pts	1,302	65%	52%	-0.01R

Tight stops (< 8 pts) get stopped out most often (84%) but have the highest expectancy (+0.30R) because the risk per trade is small and winners are large relative to the stop. Wide stops (40+ pts) survive more often but the edge disappears because winners aren't proportionally larger.

This is an important finding for position sizing: tight-stop setups are actually the best in expectancy terms, even though they feel worse due to higher stop-out frequency.

11. Trade Timing Characteristics

Metric	Median	P25	P75	P90
Bars stalking (pre-entry)	4 min	2 min	8 min	28 min
Bars held (post-entry)	20 min	6 min	88 min	121 min
Time to 1R (if hit)	5 min	2 min	11 min	20 min

Metric	Median	P25	P75	P90
Stop distance	12.25 pts	8.25 pts	19.50 pts	30.50 pts

Trades resolve very quickly. If you're right, 1R comes in 5 minutes median. If you're still holding at 20 minutes without hitting 1R, the odds are increasingly against you.

12. Monthly Consistency (TP@1R, 1H Window)

Month	N	Mean R	Total R	Win%
2024-01	76	+0.24	+18.0	62%
2024-02	299	-0.02	-6.9	49%
2024-03	312	+0.07	+22.7	53%
2024-04	366	-0.05	-16.4	48%
2024-05	270	+0.13	+35.3	56%
2024-06	278	+0.01	+3.6	50%
2024-07	367	-0.04	-15.3	47%
2024-08	478	+0.11	+53.0	55%
2024-09	429	+0.15	+64.1	57%
2024-10	429	+0.11	+46.4	55%
2024-11	357	+0.09	+31.7	54%
2024-12	357	-0.00	-1.3	50%
2025-01	423	-0.00	-1.3	49%
2025-02	400	+0.06	+25.6	53%
2025-03	466	+0.06	+27.5	52%
2025-04	517	+0.09	+47.1	54%
2025-05	452	+0.08	+37.6	54%

Month	N	Mean R	Total R	Win%
2025-06	457	-0.02	-6.7	49%
2025-07	390	+0.08	+32.7	54%
2025-08	357	-0.04	-14.5	48%
2025-09	348	+0.08	+29.2	53%
2025-10	443	+0.14	+63.2	56%
2025-11	429	+0.12	+51.0	56%
2025-12	438	-0.01	-4.8	49%
2026-01	325	+0.12	+37.9	56%

The strategy is positive in 17 of 25 months (68%). Losing months are small (-0.02 to -0.05R mean). The edge is consistent but thin -- you're relying on volume (hundreds of trades per month) to accumulate small advantages.

13. The 08:00 Anomaly

The 08:00 hour OB has a **95-96% stop-out rate** regardless of direction. This is the pre-market hour before the 9:30 cash open, and the displacement candles that form here are likely created by news/economic releases that then get faded. This is a clear "avoid" zone.

14. Filtered Scenario: Best Hours Only

If you restrict to the 5 best hours (02:00, 07:00, 23:00, 00:00, 06:00) with TP@1R:

Metric	Value
Total trades (1H window)	1,622
Mean R (TP@1R)	+0.138R
Win%	57.0%
Annual trades (~)	811
Annual R accumulation	~112R

This is a meaningful edge: 57% win rate at 1:1 risk/reward across 800+ trades per year.

15. Key Takeaways and Recommendations

What the data says:

1. **First-presented FVGs and OBs DO identify reactive levels** -- 53% of triggered trades touch 1R within 5 minutes. The zone detection works.
2. **The edge is entirely in trade management**, not in zone identification. Without a TP, 60% of winning touches become losses. A fixed TP at 1R is the minimum viable management approach.
3. **Time-of-day is the strongest filter**. The 02:00 (London open) and 07:00 (pre-NY) hours have 2-3x the expectancy of afternoon hours.
4. **The 1H window is sufficient**. 2H/3H windows add no value -- the first setup almost always appears in the first hour.
5. **OBs slightly outperform FVGs** in hit rate. Bullish OB at 02:00 is the single best setup in the dataset.
6. **Tight stops (< 8 pts) have the highest expectancy**, counterintuitively. They get stopped more but the risk/reward is better.
7. **Wednesday and Thursday are the best days**. Sunday overnight and Monday are the weakest.

What to test next:

1. **HTF bias filter**: Only take setups aligned with the higher-timeframe trend (e.g., 60-bar lookback direction). This should dramatically

reduce the 78% stop rate.

2. **Trail-to-breakeven at 1R:** For NY_AM and Lunch sessions where survivors produce 3R+ median, a trail strategy may capture more value than a fixed TP.
3. **Time-based exit filter:** If 1R isn't hit within 15-20 minutes, close at market. The time-to-1R data suggests most winners resolve quickly.
4. **08:00 exclusion zone:** Hard avoid on the pre-market hour. The 95% stop rate is not recoverable with any management.
5. **Combine best filters:** 02:00-03:00 + 06:00-07:00 hours, OB preference, Wed/Thu, TP@1R. This should produce a tight, high-conviction playbook.